

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: December 8, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER GRANTING MOTION TO COMPEL

I. Overview

A. Background

On November 22, 2021, Complainant MCS Industries, Inc. (“MCS Industries”) filed a motion to compel discovery from Respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping” or “Respondent”). Respondent COSCO Shipping Lines Co., Ltd. was previously dismissed pursuant to a settlement.

On November 29, 2021, MSC Mediterranean Shipping filed a counterstatement and opposition to the motion to compel or, in the alternative, request to defer its consideration pending resolution of a motion for summary disposition and indicated that a request for confidentiality would follow. Opposition at 1.

On December 2, 2021, MCS Industries filed a notice of new developments stating that there had been new developments regarding scheduled depositions since filing its November 22, 2021, motion and requesting an extension of the discovery schedule on an expedited basis, to allow depositions to be rescheduled. Notice at 4.

On December 3, 2021, MSC Mediterranean Shipping filed a response to MCS Industries’ notice, contesting MCS Industries’ request for expedited consideration and the basis for the postponement of depositions. Response to Notice at 1, 6.

Also on December 3, 2021, MSC Mediterranean Shipping filed a request for confidential treatment of select portions of attachments and exhibits in its opposition.

B. Arguments of the Parties

Complainant's complaint alleges that Respondent has violated the Shipping Act by:

- engaging in unjust and unreasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers (Count I);
- providing service that is not in accordance with the rules and practices in Complainant's service contract with Respondent (the "Service Contract") (Count II);
- unfairly and unjustly discriminating against Complainant in favor of other shippers (e.g., shippers paying Respondent higher "spot market" prices) in the matter of rates or charges with respect to the ports identified in the Service Contract (Count III);
- unduly and unreasonably preferring and advantaging other shippers (e.g., shippers paying Respondent higher "spot market" prices), to the prejudice and disadvantage of Complainant, with respect to the ports identified in the Service Contract (Count IV); and
- unreasonably refusing to deal or negotiate with Complainant with respect to the Service Contract and the service provided pursuant to it (Count V).

Motion at 1; Complaint at 11-12.

MCS Industries asserts that its discovery requests seek discovery of evidence that is relevant to Complainant's five causes of action and Respondent's defenses, including:

The defenses that Respondent has asserted with respect to Complainant's claims (such as the timeliness of Complainant's requests to book cargo space, Respondent's allegation that the acts of third parties—e.g., intermediaries and agents—over which Respondent claims it had no direction or control are the cause of Complainant's claimed damages, and Respondent's invocations of *force majeure* during the COVID-19 pandemic).

Motion at 1-2.

MSC Mediterranean Shipping asserts:

MSC has proposed from the very outset of the case a sequenced approach of proportionate and relevant discovery to focus on Complainant's core allegation that MSC improperly refused to carry its cargo during the period from May to July, 2021 from three ports in China -- Fuzhou, Tianjin, and Qingdao -- to the U.S. West Coast. MSC has provided all of the responsive, non-privileged documents it has been able to find upon a reasonable search as to [] whether carriage of MSC cargo from these ports was requested and undertaken during this time period, and, if the cargo was not carried, why not. MSC identified in its initial disclosures early in September the persons most directly involved in these

issues, and has offered the two witnesses MCS has noticed for deposition on them on the dates Complainant itself noticed, which are within the discovery period. There is simply no basis for MCS' assertion that it has been prevented from undertaking discovery into these issues, or that MSC's discovery conduct somehow warrants an indefinite extension of the discovery deadline.

Opposition at 4.

MSC Mediterranean Shipping states that after discovery limited to the core allegations of the complaint is completed, it will be in a position to file a motion for summary disposition, and suggests that this motion be deferred until that time. Opposition at 12-13. It also suggests that this is a fishing expedition, that MCS Industries has not been able to identify evidence supporting all the claims made in the complaint, that some claims have been abandoned or are beyond the jurisdiction of the Commission, and that a motion to dismiss was not filed because all of the complaint's allegations would have been accepted as true. Opposition at 5-14.

II. Standard of Review

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j). Further, the Commission's Rules governing the production of documents or electronically stored information provides that parties "must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request" and "need not produce the same electronically stored information in more than one form." 46 C.F.R. § 502.146(b)(2)(v)(A, C).

III. Motion to Compel

The motion is organized by general topic and includes the text of each discovery request at issue, Respondent's response, the attempts to secure a sufficient response, and why the response is insufficient. Motion at 6. The opposition includes the motion and inserts counter-summaries and arguments, highlighted in yellow. Opposition at 1 n.1. Rulings below are organized in the same fashion. Familiarity with the motion and opposition is presumed.

A. General Objections

MCS Industries asserts that it "is simply seeking to propound relevant written discovery that is directly relevant to the claims and defenses pending in this action." Motion at 8.

MSC Mediterranean Shipping argues:

MSC has proposed from the very outset of the case a sequenced approach of proportionate and relevant discovery to focus on Complainant's core allegation that MSC improperly refused to carry its cargo during the period from May to July, 2021 from three ports in China -- Fuzhou, Tianjin, and Qingdao -- to the U.S. West Coast.

Opposition at 4. MSC Mediterranean Shipping admits that it has limited its discovery to what it believes are the "core issues in this case." Opposition at 25.

MCS Industries offered to narrow many of its requests by both time and geography, to documents and communications from May through August 2021 from the ports of Qingdao, China and Tianjin, China to California. *See* Motion at 12, 16, 17, 22, 24, 33, 37. This demonstrates MCS Industries' good faith attempts to limit discovery to the relevant time period and geography, where possible.

MSC Mediterranean Shipping relies on an order issued in Docket No. 20-14, encouraging those parties to initially limit discovery to a limited geographic area or time period, prior to filing a summary decision motion, with additional discovery permitted if the motion is denied. Opposition at 21. MSC Mediterranean Shipping's reliance on Docket No. 20-14 is misplaced. In this proceeding, there is no need for a two-step approach to discovery, which would only prolong the proceeding, and which has not been agreed to by the parties or approved by the undersigned. Docket No. 20-14 is a fundamentally different proceeding from this proceeding which includes only two parties and already has a limited geographic area and time period.

MSC Mediterranean Shipping argues that a number of MCS Industries' claims are legally insufficient in their opposition to the motion to compel. Opposition at 16. MSC Mediterranean Shipping states that "a decision not to file a motion to dismiss before answering does not waive a party's position that a claim is legally insufficient. *See* Fed. R. Civ. P. 12(g)(2)(stating the non-waiver rule.) Complainant is not entitled to discovery in support of legally insufficient claims." Opposition at 16. While a decision not to file a motion to dismiss may not waive the party's position, it does not mean that the party can proceed as if a motion had been filed and granted or that the party can unilaterally refuse to produce discovery related to pending claims.

MSC Mediterranean Shipping cannot limit its discovery to what it believes are the core issues in this proceeding nor can it require MCS Industries to produce evidence that claims are valid before producing discovery. Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense" and the allegations in the complaint extend beyond the specific bookings and attempted bookings identified. 46 C.F.R. § 502.141(e)(1); Complaint at 11-12. While parties cannot go on fishing expeditions and seek irrelevant discovery, they are not required to provide evidence or legal authority for every discovery request, especially when that request is narrowly tailored to conduct between the parties, between California and two ports in China, over a four-month timeframe.

MSC Mediterranean Shipping's general objections are not persuasive and the approach to discovery proposed by MSC Mediterranean Shipping will only delay the proceeding. Accordingly, MSC Mediterranean Shipping is hereby **ORDERED** to respond to relevant discovery requests.

B. Identifying Individuals with Knowledge

MCS Industries requests that MSC Mediterranean Shipping be ordered to: (1) identify all individuals with knowledge of facts relevant to the claims and defenses in this matter, (2) identify with specificity any and all documents that Respondent relied upon in responding to these Interrogatories, and (3) identify with specificity each document that Respondent contends is responsive to each of Complainant's Interrogatories. Motion at 11.

In its opposition, MSC Mediterranean Shipping lists names of many people with knowledge, and asserts that MCS Industries already is aware of these people or that they are included in documents previously provided. Opposition at 29-30. MSC Mediterranean Shipping also insists that some of the relevant people can be identified through non-party subpoenas but that MSC Mediterranean Shipping should not need to respond until after their motion for summary decision is filed. Opposition at 30-31.

MCS Industries is entitled to discover information relevant to the pending claims and MSC Mediterranean Shipping, the other party in the proceeding, is the preferred entity to provide that information. Respondent merely refers generally to the parties' respective document productions. While a responding party may answer an interrogatory by producing business records, Respondent must "specify[] the records that must be reviewed, in sufficient detail to enable [Complainant] to locate and identify them as readily as [Respondent] could." 46 CFR § 502.145(d)(1).

Accordingly, MSC Mediterranean Shipping is hereby **ORDERED** to: (1) identify all individuals with knowledge of facts relevant to the claims and defenses in this matter, (2) identify with specificity any and all documents that Respondent relied upon in responding to these Interrogatories, and (3) identify with specificity each document that Respondent contends is responsive to each of Complainant's Interrogatories.

C. Communications Concerning Complainant

MCS Industries requests that Respondent be "compelled to produce all documents and communications responsive to Requests 5 through 7, subject to the time and geographic

limitations proposed by Complainant.” Motion at 13. MCS Industries requests “not only communications between the parties, but also documents and communications *internal* to Respondent, and documents and communications with *intermediaries*, concerning Complainant, Complainant’s cargo, and the Service Contract,” arguing that the “latter two categories are especially important because, while Complainant’s own records may contain direct communications between the *parties*, clearly it would not contain Respondent’s internal communications, and much of the relevant communication here was necessarily through intermediaries, including Complainant’s agent and Respondent’s booking agents.” Motion at 13.

MSC Mediterranean Shipping asserts that it has provided “all documents concerning bookings and attempted bookings, and MSC’s actions with respect to the requests for service it received from Complainant or those acting on its behalf.” Opposition at 34.

As discussed above, MSC Mediterranean Shipping cannot limit its discovery to what it believes should be the core issue in this proceeding. MSC Mediterranean Shipping improperly limited its production to only documents concerning “bookings and attempted bookings” which excludes relevant documents. Accordingly, MSC Mediterranean Shipping is hereby **ORDERED** to produce all documents and communications responsive to Requests 5 through 7, subject to the time and geographic limitations proposed by Complainant.

D. Attempts to Book Cargo Pursuant to the Service Contract

MCS Industries requests “that Respondent be compelled to produce all documents and communications responsive to Requests 8 through 10 and 13 and Interrogatory 8, with the limitations of time and geography proposed by Complainant,” asserting that its causes of action:

are not merely premised on a list of booking requests and rejections or cancellations thereof, but instead on a pattern of behavior by Respondent in which Complainant and its agent were repeatedly fobbed off by Respondent and/or Respondent’s booking agents despite ongoing requests and follow-ups for information and confirmations concerning Complainant’s space allocations pursuant to the Service Contract and the availability of space on Respondent’s sailings, and were thereby prevented from even making booking requests. These requests go to the heart of that alleged conduct that Complainant contends violates the Shipping Act.

Motion at 16.

MSC Mediterranean Shipping asserts that it has produced discovery “concerning bookings and attempted bookings and MSC’s actions with respect to requests for service it received” on which “Complainant is alleging it did not receive contractually allocated service.” Opposition at 37-38. MSC Mediterranean Shipping also asserts that MCS Industries has “brought nothing more than a breach of contract claim” dressed up as a Shipping Act claim. Opposition at 38.

One of the claims alleged by MCS Industries is a violation of section 41102(c), which requires a showing that the “claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4. Thus, MSC Mediterranean

Shipping's practices are at issue, not just the actions taken on specific bookings. Moreover, it may be necessary to understand MSC Mediterranean Shipping's actions in a context beyond specific, documented requests for bookings. Accordingly, MSC Mediterranean Shipping is hereby **ORDERED** to produce all documents and communications responsive to Requests 8 through 10 and 13 and Interrogatory 8, with the limitations of time and geography proposed by Complainant.

E. Successful Carriage of MCS Cargo

MCS Industries "requests that Respondent be compelled to produce all documents and communications responsive to Requests 10 and 11, with the limitations of time and geography proposed by Complainant and the limitation to documents and communications concerning successful **booking** (as opposed to the actual carriage) of Complainant's cargo." Motion at 18. MCS Industries contends that discovery regarding successfully booked carriage is relevant to show the course of conduct between the parties, and "will demonstrate that there was no meaningful difference in the actions of its agent with respect to successful and unsuccessful requests to book with Respondent and Respondent's booking agents, undercutting Respondent's defenses." Motion at 18.

MSC Mediterranean Shipping asserts that it should not be required to provide discovery as to sailings about which MCS Industries has not made a claim, "based on speculation that MSC may have excused a contractual violation in some cases entitling Complainant to be excused from contractual violations in other cases." Opposition at 40. MSC Mediterranean Shipping argues that:

Although Complainant itself would of course be aware if there were such cases, it has not provided any evidence or any reason to believe that there are any such bookings. Nor has Complainant provided any legal authority for the proposition that if MSC were to have overlooked or excused a contractual violation in one case -- and again it does not provide any reason to believe there are any such cases, much less cite any evidence that there are any, it would be required to do so in another case. Finally, as to Qingdao, Complainant has alleged that there were *no* successful bookings from May to July in any event (and discovery has shown there were only three attempted bookings). By August, Complainant's handling agent had replaced the booking agent at Qingdao and things were back on track; this had nothing to do with any purported excusing of Complainant's contractual violations. These requests are thus based merely on speculation and are factually and legally unsupported. The motion to compel on these requests should be denied.

Opposition at 40-41.

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1). To understand why there were problems with some bookings it is relevant to understand successful bookings. While parties cannot go on fishing expeditions and seek irrelevant discovery, they are not required to provide evidence or legal authority for every discovery request, especially when that request is

narrowly tailored to conduct between the parties, between California and two ports in China, over a four-month timeframe.

Accordingly, it is hereby **ORDERD** that MSC Mediterranean Shipping produce all documents and communications responsive to Requests 10 and 11, with the limitations of time, geography, and scope proposed by MCS Industries.

F. Force Majeure

MCS Industries requests that MSC Mediterranean Shipping be ordered to produce “all documents and communications responsive to Requests 14 and 15, and to answer Interrogatories 9 and 10,” which requests documents, communications, events, notices, or notifications of force majeure to any shipper from January 1, 2020, through the present. Motion at 20-21. MCS Industries asserts that “any invocation of force majeure, even relating to parties other than Complainant, is relevant to whether Respondent has genuinely experienced forces or conditions outside of its control that would excuse performance under the Service Contract” and that MSC Mediterranean Shipping “cannot put a matter at issue by raising it as a defense in its answer and then refuse to provide discovery concerning that very defense.” Motion at 20-21.

MSC Mediterranean Shipping states:

Complainant mischaracterizes the meet and confer discussion it references; indeed its purported description of MSC’s position is incoherent. MSC has provided to the best of its ability documentation of its notices to the market of sailings from Tianjin and Qingdao that could not be undertaken due to port congestion or other factors outside MSC’s control. Complainant has had these documents since November 5, 2021, and has not provided any basis to suggest the production is incomplete. The motion to compel on these requests should be denied.

Opposition at 43.

MSC Mediterranean Shipping admits that it limited its response to notices to the market of sailings from Tianjin and Qingdao that could not be undertaken due to port congestion or other factors outside MSC’s control. The discovery questions ask about notifications of force majeure. If MSC Mediterranean Shipping wants to raise force majeure as a defense, it needs to provide relevant discovery. The timeframe requested, from January 1, 2020, through the present is reasonable and whether such claims were raised against other shippers is relevant. Accordingly MSC Mediterranean Shipping is hereby **ORDERED** to produce all documents and communications responsive to Requests 14 and 15, and to answer Interrogatories 9 (from January 1, 2020, to the present) and 10.

G. Sailings That Did Not Occur and Alternative Sailings

MCS Industries requests that MSC Mediterranean Shipping be ordered to produce “all documents and communications responsive to Requests 23 and 24, with the limitations of time and geography proposed by Complainant.” Motion at 23. These requests seek discovery

regarding sailings for the routes from the ports of Qingdao, China and Tianjin, China to California, scheduled for May through August of 2021. Motion at 22.

MSC Mediterranean Shipping asserts that it has provided information showing which sailings were voided and the “reasons that MSC and other carriers’ sailings have been voided or cancelled in the current environment of port congestion and vessel sailing disruptions are well known and were stated by Complainant’s CEO at his deposition.” Opposition at 46.

It appears that MSC Mediterranean Shipping has provided information regarding *what* sailings were voided or cancelled but has not produced the documents and communications that would show *why* sailings were voided or cancelled. There are many factors impacting the current disruptions and it is relevant for MCS Industries to discover which factors impacted MSC Mediterranean Shipping. Accordingly, MSC Mediterranean Shipping is hereby **ORDERED** to produce all documents and communications responsive to Requests 23 and 24, with the limitations of time and geography proposed by Complainant.

H. Course of Conduct

MCS Industries asserts that MSC Mediterranean Shipping “has improperly sought to narrow this case to a set of specific booking requests and denials, despite the fact that the Complaint alleges a broader course of conduct” and requests that MSC Mediterranean Shipping be ordered to “answer these Requests, as limited by the proposals from Complainant discussed above, without requiring any additional ‘demonstrat[ion]’ by Complainant.” Motion at 25. MCS Industries asserts that it seeks:

information relevant to each of Complainant’s causes of action: i.e., that Respondent violated the Shipping Act by engaging in unjust and unreasonable conduct (Count I) that was inconsistent with the Service Contract (Count II), that unfairly discriminated against Complainant (Count III), giving undue preference to other shippers with respect to the ports identified in the Service Contract (Count IV), and that constituted an unreasonable refusal to deal with Complainant on the Service Contract (Count V).

Motion at 24-25.

MSC Mediterranean Shipping contends that it has provided discovery regarding bookings and attempted bookings from MCS Industries. MSC Mediterranean Shipping argues that it “is not clear what Complainant means in stating it was denied ‘the opportunity to book cargo.’ Complainant does not cite where it alleges so in the Complaint, or anything in the discovery that has already been exchanged that supports such a claim.” Opposition at 49.

The Commission’s Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense” and the allegations in the complaint extend beyond the specific bookings and attempted bookings identified. 46 C.F.R. § 502.141(e)(1); Complaint at 11-12. While parties cannot go on fishing expeditions and seek irrelevant discovery, they are not required to provide evidence or legal authority for every discovery request, especially when that request is narrowly tailored to conduct between the parties, between California and two ports in China, over a four-month timeframe. Accordingly, it is hereby **ORDERD** that MSC

Mediterranean Shipping answer the discovery requests, as limited by the proposals from Complainant.

I. Identify Potential Witnesses

MCS Industries requests that MSC Mediterranean Shipping be ordered to respond to these MCS Industries discovery requests sufficiently to identify individuals as requested and asserts that “Complainant is entitled to discovery of the identities of relevant individuals who made substantive decisions or communicated substantively regarding the allocation of—or failure to allocate—cargo space to Complainant under the Service Contract and the reasons for such conduct.” Motion at 28.

MSC Mediterranean Shipping asserts that all “relevant individuals who made substantive decisions or communicated substantively regarding Respondent’s contractual obligations to carry Complainant’s cargo were identified in the parties’ initial disclosures” and argues that the “continued demands in connection with these requests are objectionable as overly broad and unduly burdensome and not reasonably calculated to lead to the discovery of admissible evidence.” Opposition at 53.

As with other discovery, it appears that MSC Mediterranean Shipping limited its discovery responses to a narrow set of people involved with particular bookings. However, MCS Industries’ claim goes beyond these particular bookings to MSC Mediterranean Shipping’s practices and MCS Industries is entitled to discovery regarding those practices. Accordingly, it is hereby **ORDERED** that MSC Mediterranean Shipping respond to these MCS Discovery Requests sufficiently to identify these individuals as requested

J. Capacity, Cost, and Allocation of Cargo on Respondent’s Vessels

MCS Industries requests that MSC Mediterranean Shipping be ordered to respond to Requests 20 through 22 and 25 and Interrogatories 18 and 19, subject to the limitations proposed by Complainant, arguing that “Respondent’s actual carriage of cargo on the relevant lines of service during the relevant time periods, and the pricing associated with that carriage, are key to proving Complainant’s claims,” specifically claims of unjust and unreasonable practices, unfair and unjust discrimination, and unreasonable refusal to deal. Motion at 33-35.

MSC Mediterranean Shipping asserts that the “requests are duplicative, overly broad and unduly burdensome, and not reasonably calculated to lead to the discovery of admissible evidence” and argues that “Complainant does not even attempt to explain the relevancy or propriety of requesting that MSC provide confidential rates and other essential terms of the service contracts of every other shipper for every sailing, much less how such information is ‘critical to the adjudication of Complainant’s claims.’” Opposition at 61. MSC Mediterranean Shipping further argues that the burden of discovery is not proportional and that it should be deferred until the core matters are addressed. Opposition at 61-62.

MCS Industries offered to limit these requests geographically and has requested additional information about how this information is stored so that it can be obtained in the least burdensome manner. The requests are relevant to MCS Industries’ claims and the parties have a protective order in place for confidential material disclosed. Accordingly, MSC Mediterranean

Shipping is hereby **ORDERED** to respond to Requests 20 through 22 and 25 and Interrogatories 18 and 19, subject to the limitations proposed by Complainant.

K. Unbooked Space on Relevant Sailings

MCS Industries requests that MSC Mediterranean Shipping be ordered to answer Requests 17 through 19 in full, asserting that unbooked space on relevant sailings is “relevant to Complainant’s claims that Respondent engaged in a practice of denying Complainant carriage at its contracted rate despite the availability of space for Complainant’s cargo on Respondent’s vessels while providing carriage to other shippers, including shippers without service contracts, in violation of the Shipping Act.” Motion at 37-38.

MSC Mediterranean Shipping asserts that it provided representative screen shots of its system of records for recording booking requests received from MCS Industries’ booking agent and “a summary table of *all* booking requests and booking confirmations related to bookings from the ports of loading in Qingdao and Tianjin for the period of May 2021 through July 2021” but that the “remainder of the requests are overly broad and unduly burdensome and not reasonably calculated to lead to the discovery of admissible evidence” and at most should be deferred. Opposition at 65-67.

MCS Industries’ request is narrowly tailored to sailings from the ports at issue during the relevant time frame. This request is relevant to MCS Industries’ claims and the parties should work together to ensure that the information is provided in the least burdensome manner. Accordingly, it is hereby **ORDERED** that MSC Mediterranean Shipping answer Requests 17 through 19 in full.

L. Relevant Financial Data and Ownership Information

MCS Industries requests that MSC Mediterranean Shipping be ordered to answer Requests 31 through 35 and Interrogatories 13 and 14 in full. Motion at 41. MCS Industries asserts that financial data and ownership information is relevant to the defense of force majeure; understanding the relationships among Respondent, its subsidiaries and affiliates, and relevant intermediaries; collection of any eventual judgement; and claims that MSC Mediterranean Shipping has profited from its alleged practices, unfairly discriminated, and given other shippers undue preference. Motion at 40-41.

MSC Mediterranean Shipping asserts that discovery “seeking Respondent’s nonpublic financial and corporate information do not seek information that directly pertains to the facts at issue in this case and are unduly burdensome and harassing,” the “stated rationale for these requests and interrogatories is implausible,” that “MSC USA Inc. is an agent for MSC,” that “MSC is a large ocean carrier with assets many times” the claimed damages, that MSC cannot make supply chain challenges go away simply by being profitable, “the fact that Complainant may not understand the relationship of its own handling agent to booking agents in China is no basis to harass MSC with requests to disclose confidential commercial information that if disclosed, even inadvertently under a protective order, would be highly prejudicial,” that other shippers would not obtain an unfair preference by paying higher rates, and that “[e]ither Complainant has evidence to support its claims that it properly and timely attempted to book

cargo and that MSC did not comply with its contractual responsibilities in carrying it or it does not.” Opposition at 71-73.

MCS Industries requests information from January 1, 2019, and the effect of any force majeure event and ownership from January 1, 2020, and acknowledges that the responses would likely be confidential and protected under the protective order. MSC Mediterranean Shipping’s argument that the relationship between parties such as handling and booking agents is already known by MCS Industries and also would be highly prejudicial if disclosed, seems contradictory. As has been previously discussed, MCS Industries is entitled to discovery regarding its claims. The requests are relevant to MCS Industries’ claims and MSC Mediterranean Shipping’s defenses. Accordingly, it is hereby **ORDERED** that MSC Mediterranean Shipping answer Requests 31 through 35 and Interrogatories 13 and 14 in full.

M. Document Retention Policies

MCS Industries requests that MSC Mediterranean Shipping be compelled to produce the documents sought in Requests 36 and 37, asserting that these document retention policies will “aid in structuring its further discovery requests and identifying any potential issues without delay.” Motion at 42.

MSC Mediterranean Shipping asserts that “the time period relevant to the lawsuit is extremely recent,” that it issued a litigation hold when it became aware of this litigation, and that no issues regarding document preservation have been identified. Opposition at 75-76.

Discovery of document retention policies does not require Complainant to establish a document retention problem and the request is relevant. Accordingly, it is hereby **ORDERED** that MSC Mediterranean Shipping produce the documents sought in Requests 36 and 37.

N. Other Allegations of Shipping Act Violations

MCS Industries requests that MSC Mediterranean Shipping be compelled to produce the documents responsive to Request 39 and Interrogatory 15, asserting that other shippers’ complaints of similar behavior by Respondent, or other alleged practices in violation of the Shipping Act, are highly relevant to proving the essential elements of a section 41102(c) claim. Motion at 43-44.

MSC Mediterranean Shipping contends that any “alleged violation of 46 U.S.C. § 41102(c) is necessarily derivative of an alleged failure by MSC to comply with its contractual obligations with Complainant; [and] these requests are not reasonably calculated to lead to the discovery of admissible evidence relevant to any specific allegations.” Opposition at 77. MSC Mediterranean Shipping also states that “MSC can state that it has not been the subject of any shippers’ complaints of similar behavior since January 1, 2020.”

MSC Mediterranean Shipping has responded to these requests for the time period of January 1, 2020, to the present, a time period proposed by MCS Industries in their motion. Accordingly, it is hereby **ORDERED** that MSC Mediterranean Shipping respond to Request 39 and Interrogatory 15 from January 1, 2020, to the present.

For the reasons outlines above, it is hereby **ORDERED** that MCS Industries' motion to compel be **GRANTED**.

IV. Remaining Requests

A. Motion to Extend the Schedule

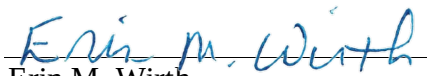
As discussed above, MCS Industries' motion to compel is granted. The parties should confer and propose a revised schedule that permits time to produce the required discovery and includes dates for the rescheduled depositions. Pursuant to Commission Rule 150(b), failure to produce discovery may result in sanctions, including an adverse determination. 46 CFR § 502.150(b); *see also Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey*, Docket No. 11-12, 2014 FMC LEXIS 36 (FMC Nov. 20, 2014) (Order Affirming Dismissal of Complaint). The joint status report with proposed revised schedule should be filed by December 20, 2021.

It is hereby **ORDERED** that MCS Industries' request for expedited treatment of its request to extend the discovery schedule be **DISMISSED AS MOOT**. The parties shall file a joint status report with proposed revised schedule by December 20, 2021.

B. Motion for Confidential Treatment

On December 3, 2021, MSC Mediterranean Shipping moved for confidential treatment of four items in the attachment and exhibits to its opposition: lines 24-25 of deposition page 106, one word in line 9 on deposition page 107, images 8 and 9 in exhibit E, and rates quoted on pages MSC_0001933 and MSC_0001986 of exhibit I. Motion for Confidential Treatment at 1. The request is designed to protect confidential commercial information including recent rate quotes. In addition, the public version includes minor corrections including translations from Chinese to English and complete email strings.

The request for confidential treatment is narrowly tailored to protect confidential commercial information and is reasonable. Complete copies of these filings are available to the undersigned and to the Commission. Accordingly, it is hereby **ORDERED** that MSC Mediterranean Shipping's request for confidential treatment of specific lines, words, and images in the attachment and exhibits to the opposition be **GRANTED**.


Erin M. Wirth
Chief Administrative Law Judge